Cambridge Assessment International Education

Cambridge O Level

COMMERCE **7100/11**

Paper 1 Multiple Choice **October/November 2021**

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **forty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 40.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

IB21 11_7100_11/2RP
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[Turn over

1 What is the final stage of the chain of production?

A consumers

B distribution

C markets

D retailers

2 Which industry is **not** matched with its type of production?

	industry	type of production
A	banking	tertiary
B	building	primary
C	fishing	primary
D	textiles	secondary

3 What does the tertiary stage in the chain of production involve?

A commercial and direct services

B commercial services

C manufacturing and commercial services

D the final consumer

4 What is **not** the function of a small-scale retailer?

A making goods for sale

B offering advice on goods

C providing a variety of goods

D selling goods in a convenient location

5 How do bar codes assist retailers?

A by advertising goods and services to consumers

B by giving after-sales service

C by producing helpful information to consumers

D by providing information on stock levels

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6 What is an advantage to supermarkets of using automated check-outs?

A increased security

B no need to provide change

C reduction in staff

D used if supermarket is closed

7 What is meant by mobile shopping?

A collecting pre-ordered goods from a shopping centre

B having demonstrations at home by salespeople

C using smartphones or tablets to buy goods

D visiting several shops to examine products

8 What does credit **not** involve?

A an agreement to repay the lender in the future

B delay in receiving payment

C interest charged on the money borrowed

D payment made at the time of purchase

9 With which type of credit does the purchaser own the product on final payment?

A credit card

B extended credit

C hire purchase

D store card

10 Mrs Wang's computer needs urgent repairs. She has no money until she receives her salary next month.

What is the **best** way to pay for these repairs?

A bank loan

B credit card

C debenture

D debit card

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[Turn over

11 What are both services provided by a wholesaler to a retailer?

A breaking bulk and trade discount

B clearing production lines and breaking bulk

C purchasing raw materials and storage

D trade discount and purchasing raw materials

12 Why will a manufacturer use an agent to sell goods abroad?

A The agent earns high commission.

B The agent works only for one manufacturer.

C The manufacturer concentrates on production.

D The manufacturer sells goods immediately.

13 The diagram shows part of an invoice paid by a retailer.

20 cases	canned pineapple @ $10 per case	$200
	less 20% trade discount	$40
	Total	$160

If two damaged cases of pineapple are returned, what should the supplier send to the retailer?

A a credit note for $20

B a credit note for $16

C an invoice for $144

D a receipt for $16

14 A retailer received an invoice for $1200 with cash discount of 2.5% 30 days.

Why did the retailer choose to pay after 40 days?

A She made a mistake calculating the invoice.

B She did not have enough money to pay the invoice within 30 days.

C She did not know she was entitled to cash discount.

D She had not sold all the goods listed on the invoice within 30 days.

15 A retailer buys 1000 pens for $2.50 each.

Which percentage mark-up must he apply to achieve a gross profit of $500?

A 16.7% **B** 20% **C** 25% **D** 50%

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16 This is a headline in a newspaper.

EUROPEAN STEEL PRODUCERS UNABLE TO COMPETE WITH VERY CHEAP IMPORTS FROM CHINA

What describes a country exporting goods below the market price?

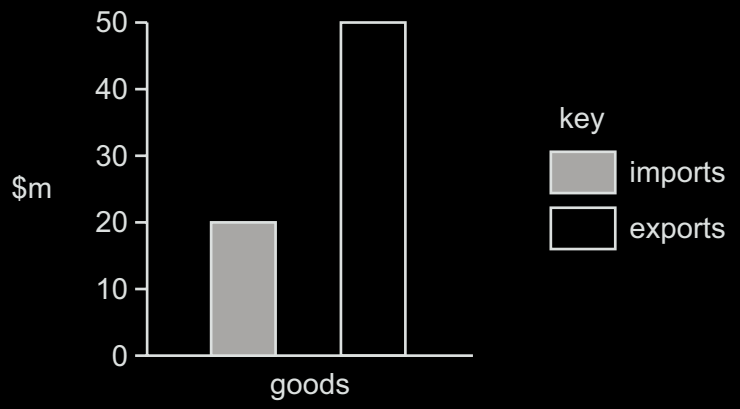
A comparative advantage

B competitive trading

C dumping

D globalisation

17 The bar chart shows the imports and exports for a country for a year.



What is the balance of trade?

A –$30 m **B** –$20 m **C** $30 m **D** $70 m

18 The diagram shows a map of Africa. The shaded area consists of countries that form a trading bloc.



What is the name of this trading bloc?

A ASEAN

B CARICOM

C EU

D SADC

19 A grocery chain divides a country into four regional sales areas, **A**–**D**.

Which region generates the most revenue?

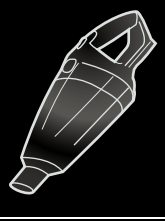
	units sold (m)	price per unit
A	40	8
B	50	10
C	60	6
D	70	7

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20 This advertisement was in a newspaper.

***HIGH-TECH* VACUUM CLEANER**

- *Cordless*
- *Very strong*
- *Powerful suction*
- *Lightweight*
- *Not expensive*



Which method of appeal is being used?

A easy living

B social acceptance

C status

D wealth

21 Amos wants to use the internet to promote his business. He places a pop-up advert on the website of a well-known company.

What advantage is gained by Amos?

A endorsement by the well-known company

B mailing list of many potential customers

C professional design of the advertisement

D regular and frequent worldwide publicity

22 Why is communication important in the global economy?

A to enable companies to contact customers worldwide

B to move goods urgently required

C to promote goods nationwide

D to transport people over long distances

23 Which Post Office service should be used to send valuables?

A cash on delivery

B express delivery

C letter post

D registered post

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24 Which type of ship specialises in carrying motor vehicles?

A bulk carrier

B cargo liner

C OBO ship

D Ro-Ro ferry

25 The picture shows a container on a truck.



What do the letters TIR indicate?

A The load has been checked and sealed by customs officials.

B The load may be dangerous in the event of an accident.

C The load must be carried using safe international routes.

D The load should be inspected at border crossings.

26 Why are some airports located by the sea?

A to improve security

B to increase scenic beauty

C to provide ample parking space

D to reduce danger from crashes

27 What describes the management of the flow of goods from production to consumer?

A logistics

B mass rapid transport

C regional distribution

D sustainability

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28 What is the effect of storing goods required seasonally?

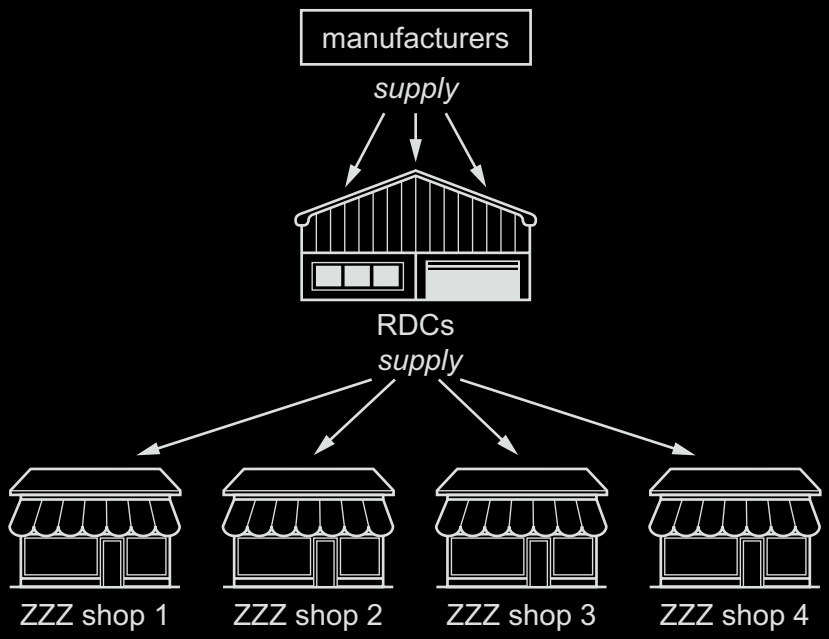
A balances supply and demand of these goods

B causes prices to fluctuate

C enables retailers to be supplied in bulk

D prevents theft and damage to goods

29 The diagram shows the function of a regional distribution centre (RDC) that belongs to ZZZ Ltd.



What is the function of a RDC?

A to provide delivery services throughout the country

B to provide stock for its own retail branches

C to store goods for other retailer businesses

D to store only non-perishable goods

30 What is the basis of insurance?

A indemnity

B insurable interest

C pooling of risk

D subrogation

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31 Mrs Dube owns a small shop.

Which risk can she **not** insure against?

A customer falling over in her shop

B employee stealing from her shop

C poor customer service causing loss of sales

D worker injured while working for her

32 Solomon has information from four insurance companies, **A**–**D**. He wants to insure two shops he owns. One shop is in Area 1 and one shop is in Area 2.

Which insurance company offers the cheapest premium to insure both shops?

	Area 1	Area 2
A	$400	$500
B	$500	$500
C	$300	$500
D	$600	$700

33 A global bank plans to invest $1 billion in mobile and digital banking services.

What is the **most** likely reason for such an investment?

A Customers will be able to access all the services offered by the bank.

B Customers will save money on visits to bank branches.

C The bank can stay in touch with customers with SMS alerts.

D The bank wants to reduce its operating costs and make more profit.

34 Who owns a public sector enterprise?

A private individuals

B shareholders

C the management

D the state

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35 A multinational is a company that

A has factories in one country.

B imports goods from other countries.

C produces in many countries.

D sells goods in one country.

36 The table shows a firm's financial data.

	$
non-current assets	120 000
current assets	65 000
long-term liabilities	52 000
current liabilities	18 000
capital	115 000

What is the working capital?

A $47 000 **B** $55 000 **C** $83 000 **D** $97 000

37 Mr Ahmed owns a small, loss-making retail store. He wants to make a profit.

What is the **most** suitable method of achieving this?

A distributing promotion leaflets locally

B installing extra security measures

C making a large car park for customers

D refitting the whole store

38 What is a social factor affecting business sales?

A government regulations on recycling affecting how businesses package their products

B growth of the global economy resulting in businesses offering more choice to customers

C improved internet provision enabling the growth of global ecommerce activities

D increase in number of women working resulting in higher demand for convenience foods

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39 How does an eretailer become more environmentally friendly?

A Have an automated warehouse.

B Introduce biodegradeable packaging.

C Open a canteen for workers.

D Use more delivery vehicles.

40 Which action should **not** be taken to claim for a faulty product?

A checking the warranty for the product

B contacting the local press to complain to them

C contacting the retailer to ask for a refund

D not using the faulty product

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